VWAP Rejection · Intraday Continuation

Concept

VWAP is the volume-weighted "fair price" of the day. Institutions defend it. When price pulls back to VWAP from the trending side and rejects (wick into VWAP, body away), that's continuation. Skip this if price is sitting ON VWAP — no edge.

Rules

- Day direction — Last 6 closed 15m bars: open > close on session start vs current close defines bias.
- Touch — Bar's wick crosses VWAP, body closes on the trending side.
- Distance — Close > 0.5 × ATR away from VWAP (not lingering on it).

Entry

- Limit at VWAP + 0.25 × ATR (or - for shorts).

Stop loss

- 1.0 × ATR beyond VWAP on the opposite side.

Take profit

- TP1: 1.1 x risk · TP2: 1.5 x risk · SL: 1.0 x risk

Backtest Results (45-day walk-forward)

Trades: 153 · 3.40 per day

Win rate: 70% · Avg winner: 1.15 RR

Expectancy: 0.50 R per trade · Profit factor: 2.68

Result vs target (60% win, 1.2 RR): PASS
